One of Wall Streetâ€™s Greatest Investors Just Sounded the Alarm

Podcast: Know your risk

AI Executive Summary

1. **Core Thesis** The episode critiques recent US policy actions regarding bond market interventions and economic warfare against Iran/China, arguing that Treasury Secretary Besson's justification for "liquidity management purchases" is unfounded because no genuine volatility or liquidity crisis exists. Zach Abraham highlights skepticism toward geopolitical escalations, citing China's threat of retaliatory measures against Iranian sanctions and dismissing reports of imminent US-Iran deals as potentially part of a long pattern of misinformation rather than substantive agreements. The discussion also addresses Druckenmillerâ€™s op-ed on the "escalation trap," noting that while AI assistance in writing is not inherently wrong, it aligns with a strategic call for Treasury intervention to cap yields without genuine economic justification, creating tension between Fed and Treasury policy objectives.

2. **Key Arguments & Data**

3. **Market Performance (Aug 25th):** The S&P/Equal Weight markets showed modest gains (S&P up 0.31%, small caps up 0.4%), but the broader market underperformed due to falling yields: 2-Year Treasury down 6bps, 10-Year down 8bps, and 30-Year down 7bps.
4. **Oil & Commodities:** Front-month oil prices fell nearly 5% (down to December contract levels down ~4%), attributed to the market's realization that "economic warfare" against Iran may be performative. Copper was the top commodity winner at +1.7%. The VIX front-month volatility index sits at 17.2, considered abnormally cheap for the backdrop.
5. **Geopolitical Stance:** Besson's timeline for economic warfare is nonexistent; China has warned it will safeguard its interests against sanctions without fear of collateral damage to their economy or US inflationary impact. Host expresses skepticism that US-Iran deals are imminent despite Russian media reporting a ceasefire, noting the contradiction with 50 previous fake deals reported.

6. **Bank Loss Proposal:** The host corrects his earlier analysis on Mike Green's proposal; it crystallizes bond losses (e.g., getting only 70 cents on the dollar value) but allows banks to amortize losses over time via held-to-maturity portfolios, preventing immediate mark-to-market accounting shocks.
7. **Fed vs. Treasury Dynamics:** There is noted tension between Fed Chair Warsh and Treasury Secretary Besson regarding yield policy. While Druckenmiller supports the idea of a "crisis" tool (TGA intervention) to cap yields, the host argues there was no crisis to respond to. Besson's potential Friday speech could be hawkish or neutral but may not align with Fed expectations.
8. **Druckenmiller Op-Ed:** Published recently and heavily debated for AI usage; Druckenmiller calls out Besson's escalation trap rhetoric where the market demands nuclear yield moves rather than responding to legitimate emergencies. The host validates Druckenmiller's content despite the AI writing controversy.

9. **Inflation Risks:** Labor supply/demand shifts may lead to wage inflation if labor demand rises, threatening nominal growth and deficit metrics. Energy, food, tech, and goods inflation remain primary drivers of CPI despite private sector interest income flushing into bonds.

10. **Actionable Takeaways**

11. **Monitor Treasury Intervention:** Pay close attention to Friday's economic data and any policy signals from Besson or Warsh, as a divergence between Fed and Treasury stances on yield control could create market dislocation or CTA squeezes.
12. **Watch Geopolitical Retaliation:** Keep an eye on potential counter-punitive measures from China against sanctioned Iranian bank branches, particularly those located in Europe that serve expats, which could reduce the perceived efficacy of US economic warfare sanctions.
13. **Labor Market Data:** Scrutinize supply and demand shifts in the labor market; wage inflation risks could trigger aggressive Fed hiking policies despite bond-buying interventions, complicating yield control efforts.

14. **Skepticism on "Deals":** Maintain a critical stance on imminent US-Iran ceasefire reports (especially state-run media), recognizing that 50 past false positives have already occurred and future agreements may remain performative until the Strait's distribution of petroleum remains unstable for Iran.

Full Transcript

Look, there was no volatility problems. There was no liquidity problems. That's why this intervention is irresponsible because there's no crisis. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

All right, welcome back to another edition of the Daily Dots. Here on Tuesday, August 25th, Chase Line Solo with you today. Start of the run down there, I got a few things. Kind of interesting day for sure. So hasn't he closed up 0.31, first green day here in quite a while, or at least green candle, I should say. Although I think it's actually was a red candle, but up 0.32% today. Equal weight down a little bit, the cues were up 0.6, small caps up 0.4. It sounds like a decent day, but then you go look at yields and you're like, wow, why weren't we up more? Because the two year was down six basis points, the 10 was down eight, and the 30 year was down about seven basis points. And that's because oil on the front month was down almost 5%. Even the December contract down almost four, and we'll get into that as part of the meat of the show.

Dollar down 0.12 all-round ex-US really nice day up over 1% mag 7 was up 0.6 As far as individual names in the mag 7 nothing moved big Gold and silver both up about half percent each gdx up 1.9 and I'll say if something is notable gdx If you plot that versus gold itself really impressive all of a sudden that's notable Especially with you know diesel prices where they are etc But that said, Platinum plating down a little bit, though the big winner there on the day was copper up about 1.7. Vol down 2%. You now have

front month vol at 17.2. I'll just say it straight up, that is too cheap. The second contract is 18.9. I think that's getting cheap, especially for the backdrop, right? If you're gonna have to have rates down like seven, eight basis points and stock generally up like 0.3.

involves down. Something weird is going on. I like vol here. AI trade, nice little bounce today though. DRAM was up 3.6. CHIPS up a little better than 1.5. LUME Energy up 6.5, like I say, pretty decent day for that stuff. As far as other notable things, Uranium, ETF was up 4% today. It's had a nice move of late. Biotech up 3% today. Korean defense up almost 4% on the day. So few interesting things out there. So as far as like interesting things for the day, I'll start with, I'll start with oil. So I think part of this move makes sense, oil being down the day. And the reason is oil was up at one point. Whenever we came out and said we're going to do this, this D-Day economic warfare, it's going to topple the regime. It's going to be the biggest economic warfare the world's ever seen.

Oil rallied on that and that was that was when we got the famous now Besson comment of like I don't understand what was that well oil was up because if you do something bad enough Iran's gonna take out its missiles and its drones and it's gonna it's gonna break important things for the economy probably related to oil That's why we're rally. So I think one of the reasons it was down the day is because if you Dig in to go look go listen to the press conference from yesterday for Besson on this economic war thing It's basically a giant nothing burger Frankly embarrassing At one point he says he offers a timeline and then later they asked him about a timeline. He's like, well, I'm not gonna do a timelines. And then they're like, okay, I thought this was like a really big deal. Why don't you just do it now? Like what's the wait for? He's like, what do you mean to blow up the global economy? Like what? So are you gonna do this or not? Like it's too scary. It's gonna blow up the economy or you're actually gonna use it in the war. Like which is it's not, it can't be both. My position this whole time is it's pointless because We're not going to do anything meaningful to China. And if you're not going to do anything meaningful to China, Iran is going to be okay enough to not surrender. And so this whole thing's, it's just dumb. And along those lines, China today basically came out and said, their relationship with Iran should not be disrupted or undermined. It will take all

necessary measures to safeguard their interests. Basically, they said, look, if you come at us and do anything serious, like we're coming back at you.

Now, obviously, we can probably sanction some put down with little companies in China and no one's going to care. They'll let us have some performative sanctions or whatever. I don't think they're going to get their knickers and a twist on that. But if we came after a big bank or something, they're coming back for us in a way that would be inflationary and very hurtful to the economy. So it's not going to happen. So from that standpoint, it makes sense that oil was up today because to me, it's like a sigh of relief. Like, oh, okay. Well, you know, Treasurer is just kidding. They're not serious about this. Just like, you know, we weren't serious about, you know, all the oil structures going to blow up imminently because we're going to make them stop producing. This has kind of been one joke after another. Then shortly before I started, you know, the show here today, we got reports from from Russian media this time, state media at that, that, oh, it deals close. Iran and the U.S. are getting very close to a new ceasefire, which I don't know why you would call it that because no one's shooting at each other right now. Sounds like going back to the MOU sort of, and then the strait's going to open, yada, yada, yada. New York side has obviously confirmed anything. But what's funny about this is the CIA director was on a C-17 headed to Moscow this morning.

Quick short visit next thing, you know, Russian state media is announcing that there's a deal imminent. I Don't think I have to go into great detail and why I am very skeptical of of that news, you know, we've had Actuals tell us there's a deal. We've had Besson tell us there's a deal. We've had Al Arabiya tell us there's a deal. We've had Pakistan tell us there's a deal Now we've had Russia tell us there's a deal Usually that you know, there's some Pakistani source at the bottom of it or whatever Which but just pure coincidence surely the Pakistanis asked for 10 billion from the US in the last couple days Can't imagine for what? So Could there be a deal sure? Oh, you know for the whole six months of thought we had to be deal. It's just gonna be you know a deal where we have to give up a lot and Are we in a spot on oil where I feel like we're ready to give up a lot? No, especially because, you know, using the ship-to-ship transfers, even though the Iranians hit basically a ship a day, getting decent amount out. Like it's

enough to, it's enough to like add runway into the crisis. Like, are you still headed for a crisis at the current, you know, production and, and like distribution of petroleum? Yes.

because you won't always have enough SPR to go around. But if they're getting five, maybe even more all of a sudden, it's starting to look like you're getting higher loadings, even more ship-to-ship transfers, then I don't think there'd be a rush for us to capitulate and be like, all right, fine, you control the straight and all that stuff that would be required here. Obviously, we're making a big deal about how bad their economy is today and stuff, and inflation's bad. I'm sure there are some shortages, you name it. but they've been dealing with that stuff most of my life. That's not gonna be enough to cause any sort of capitulation. The only thing I have to do find curious is the fact that their president and their parliament speaker, who've kind of been like the doves of this thing for them, they actually offered us like pretty good propaganda win. And we took it like Besson had a tweet out that showed their quotes about how, you know, the economic pressure means maybe they should stop and stuff. That was curious.

I'll just put that out there. Problem is I don't think those guys have as much control as the RGC and in the like high level of military advisors to the Supreme Leader. So probably doesn't matter. I'm just surprised those guys have jobs and frankly heads at some points along the way here. But who knows what's going on in reality there. But do I believe there's a deal in it? Not really. Would I be more apt to believe there was a deal? If we hadn't had 50 fake deals, yes, of course, but I will say like because of that, eventually we're going to have a deal and it's probably going to look fake at first because we've had 50 fake ones. So I do think it's worth keeping the back of everyone's mind that, but this probably isn't it for me. One thing I wanted to correct the record on going back to yesterday, Zach was asking me if I read the Mike Green thing and I was like, yeah, and then I told him like, no, I don't think so. Like I'm pretty sure Mike's plan has Basically us giving the banks full-blown, you know par for the bonds. I was dead wrong. So I Want to I want to correct that My bad. So what he what his what his Proposal actually does is it does crystallize the loss for the bank? So if they have a ten-year treasury in its 70 cents on the dollar, they would only get their 70 cents on the dollar but Where it gets tricky is You know, those are

inhaled to maturity portfolios, which means they don't have to mark to market the loss. They can just, you know, pretend that there's no loss there because they're not selling it, which is fair, honestly, because, you know, a bond is going to be go all the way back to a hundred if you wait until you, you know, it's all mature. So at the end of the day, I'm fine with that. What this would do is make them take the loss, but it lets them amortize it over, over like the long term instead of realizing it all from an accounting standpoint when they do it.

I don't know why banks would be jumping at the ability to do that really. I'm sure that would get some flow. I don't see where it would be enough to be some big liquidity hose or policy stimulus or anything. So I was done wrong on that. I don't really think that's going to be that big a deal, even if that gets accepted or whatever. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Obviously one big piece of news since we last spoke was it was the the op-ed from Stan Druckenmiller which annoyingly has turned into people talking about the fact that it was AI written or whatever. I'll talk about that too. But at the end of the day, he just called out Besant for Exactly what I've been calling out best and for it. I feel like I could have wrote it. So maybe I, you know, maybe I should have Claude write that for me instead of him, but I thought it was a great piece. I thought it was well written. And speaking of that, like, I think it's, it's like a cool kid thing on Twitter. I've noticed to be like, to just shun anything AI written. And that's dumb. Like that, you know, I mean, you could plow your fields by hand too, but, but you don't like use, use a machine because it's stupid to do it by hand.

I mean, I feel the same thing about most writing. I'm not all of it, right? But an op-ed, if you can tell it what you think and just be like, have it write it for you better than you could have written it yourself, there's just nothing wrong with that. The piece was good. He got his points across really well, really effectively by using some help from A.I. writing. I just have no problem with that. People are like, oh, well, he didn't say it. He did say it. It's not like he told Claude to post it without. without looking at it, like, this

is just, it distracts me as one of those cool kid moments where, you know, you're, you're, you're not, you know, pure or legit if you let AI do anything. And that, that's just silly. Now, should you do your PhD thesis, you know, on AI, should you write a book, a bunch of books on AI without much editorializing? Like, no, of course, like that, that stuff, that stuff's dumb, but to act like It's all fake because AI helped them. I just think this is kind of the latest fake outrage that people can, especially smart people that they want to get. And obviously, the biggest crowd and getting mad about it are people that write. So, you know, whatever. I have no beef with it. If you're not using AI for some writing, you're probably doing it wrong, in my opinion. But more the point, you know, drug called him out for specifically one of the things that's important to me and that is like this escalation trap part where it's like you do a small thing and then the market's like no and then you have to do a big thing and then the market's like still don't want to and then you have to just go nuclear and there was reporting out that that said the best I wanted to put the fear of God and the bond market and all this stuff like that's what tells me he had the same influence that the president had from Venezuela where he he got to like Excited for his own power and his own abilities because he was able to move the end and move oil. So he could just do that to yields. And without stopping to think about the cost and how far he may have to escalate to make it actually work. Now, with that said, to me it's a big deal to have the best living investor that was also a mentor of yours and a co-worker for over a decade.

And, you know, and it's important in policy circles to come out and be like, no, this is bad. This is dumb. Stop it. Maybe Besson, you know, Zigo's gotten so big that he thinks, you know, drugs to some old man like yelling at clouds and he's just going to double down on this stuff. Or, you know, I could see him trying to put the toothpaste back in the tube a little bit because to be fair to him, like, you know, CNBC reported that some people at Treasury said they could use TGA. which technically they can. You didn't need CNBC or Treasury to tell you that. That's just the law, right? But for them to say it was a big deal because it was like this, we'll do whatever it takes kind of moment that the market didn't really react to, which is weird to me. So he could say, well, I'm not the one that said that. I just said we were going to move up the liquidity management purchases. That's all I said.

And that's defensible because the liquidity management purpose, you know, buys like they're not, there's not big enough to matter. Um, and that's like a legitimate policy tool to, to make sure like the, the volatility and liquidity issues don't turn into a bigger problem. That's a great part of the, of the drug and millet piece was to say like, look, there was no volatility problems. You know, there, there was no liquidity problems. That's why this intervention, you know, is irresponsible because like there's no crisis. It was so elective. To have an ad hoc elective nuke put on the bond market instead of responding to an emergency, it sends a lot of wrong bad signals to markets. And to people that have billions or trillions of dollars invested in the US, they have to look at that and go, wait a second. The last thing you need to do is create a crisis by responding to a non-crisis.

with crisis tools is the way I would put it. So we'll see. At the end of the day, Friday is the most important. And maybe there's a split between Warsh and Besant that none of us are expecting. They're supposed to be like a package deal and work great together and kind of a new Fed Treasury Accord and everything is going to be like all from the same, singing from the same hymnal here. And then it turns out that they seem almost at odds with each other and opposing each other. And both guys know, truck, both guys worked with truck, but Warsh, I think pretty clearly is tighter to Druck. So I don't think we can discount the fact that this could be Druck kind of being like, or it's Warsh being kind of like having Druck do this for him because he can't come out and say this, right? Obviously. Now, you know, all these are positions that Druck's had for years. So like, not at all surprising. And I also think, you know, face of the crisis, Warsh will hit control P, you know, with a Sledgehammer. So like, I'm not saying the guy's going to be, you know, an atheist and a foxhole, right? He's not, but, um, and maybe drunk laugh to write in an angry op ad about what worse does down the road. But, but for now, he has the opportunity Friday to be hawkish. I don't think it'll be dubbish. I think there's actually the best chances he's kind of neither. And he just talks about big fancy longterm stuff that, that the market for now isn't going to worry about. Um, But he could be hawkish. And if he is hawkish, that will help yields come down some more, which kind of veils out in a sense, as does Russian state media headlines about an imminent deal. And in the futures market, a lot of people

are pretty short on duration. So this could create a little kind of CTA squeeze out of those short positions. So you could get a yield flush here.

If Friday could really help with that, if in my opinion, if Warsh is hawkish or maybe even him just being nothing will work. But that whole dynamic between Fed and Treasury is going to be interesting. Obviously, Treasury is really having their own mission creep into the Fed's territory. That's monetary policy. I'm sorry. If you're just going to use balance sheet, to dramatically buy back duration using bills to dramatically change the weighted average maturity of the debt. A, you're going to make the Fed mad unless they're totally in support of it. B, you're going to make the T-back mad because they're supposed to do this quarterly cadence of advising these things, doing an above board announcement, putting frameworks together.

so that the market knows what to expect, all these things. You're talking about a lot of money obviously in bond investing, not to mention in touchless currencies. This is important stuff. This isn't some penny stock kind of vibe. This is 40 trillion of national debt in the way it trades globally, and the impacts that it has on every other asset class because it does. Not to mention whether Americans can buy a house at a reasonable rate, et cetera. I think a lot of different constituencies have a reason to be upset by this and probably are and probably are relaying that behind the scenes to the Treasury Secretary. So the question just becomes like, is he, you know, if everyone all of a sudden like looks at you and goes, whoa, whoa, whoa, like, do you have, you know, do you reflect on that and go, all right. All right. If everybody's saying it to me, like I must have kind of overstepped there. I got, you know, lost myself for a minute, my bad. Like I'll put that back in.

Put that toothpaste back in the tube. Or is he just going to be like, I'm smarter than all of you. I have the asymmetric information and we're going to do this. We'll see. You know, really can't figure that out yet. He's got his yields down for now and oil down. So, you know, for the moment, he doesn't have too much to worry about. But if something gets oil right back up, if ag prices keep picking up, you know, if the next CPI prints really hot, et cetera, you know, but I think we just saw another thing. Getting rid of another 100 to 100 200,000 something that visa visas. So like if wages pick

up more than expected Just because the supply and demand of labor has shifted, you know, we're kind of lucky right now the demand for labor is pretty low Because if the demand for labor gets high with supply obviously a lot lower with net immigration doing what it's doing like You know, that's kind of supply and demand 101 labor prices will get more expensive And there are still some little measures that show it might start doing that That's something that's incredibly important to keep an eye on. The Fed is too bought in on wages, so they would freak out probably and want to do a bunch of hiking if they saw that. Normally, I'll push back on that, but given the fact that you have energy inflation, food inflation, tech inflation, goods inflation, diesel touching everything inflation, like, yeah, if you start to get wage inflation and You know nominal growth and deficits are 7% or whatever like you might want to you might want to raise some rates right now They may not help because of all the stuff we talked about before like all that all that interest income that is goes flushing it, you know pouring into the private sector, but All things that are on my mind as we go through the rest of the week I'll be interested to see the reactions from you know, US officials and Iranian officials from this Russian state-run media report, I'll be interested to see. I think we were told by the end of this week or next week or something that we're going to have a major banking institution get some huge sanctions and cut off the dollar set off the dollar system from that press conference. I'm interested to see if that we have follow through there or if the news cycle, you know, just evaporates when everybody forgets and there's no follow through. I'm not going to forget. I'll be watching for that next week. I know one of the things every time I'm doing like there's a Meranian banks have branches like in Europe and stuff of going after those. The problem with the economic warfare thing is we pretend to be very pro-regular people in Iran, we're just against the regime. But if you start going after these bank branches in Europe, you're probably just going after Iranian expats that live abroad, random engineers that left home and maybe their parents are still back in Iran and they're just trying to make a living.

In your report that we're like in the but they bank with a Iranian bank because that way they can easily send money back to their parents or like If you're just gonna hurt stuff like that like You're probably not gonna do yourself any favors with support. You're probably gonna help drive more

people to just be like whatever I'm just gonna support the regime Stuff like that like I worry about the effectiveness of of even the stuff that we are going to do And the fact that it's probably just gonna make regular people suffer and The regime, I think, pretty clearly at this point doesn't care too much if regular people suffer in Iran. It's at least not their top priority, right? Obviously. So I don't expect anything to come of that that matters. I still would not be shocked, honestly. I kind of mentioned this yesterday, but I still would not be shocked if G ends up canceling his meeting. If we go through with any of this in any way that matters, I fully expect a significant, you know, Counter punch from China one that will make us back down because We just depend on too much. Just no no two ways about it. Um, so all things to watch out for But uh, we'll be back with another one tomorrow. Don't forget you can download subscribe at knowing risk podcast calm Check us out on YouTube tell your friends Cheers investment advice cannot be given without a client service agreement Zach Abraham is an investment advisor representative of Trek financial an SEC registered investment advisor Bollard capital management is a marketing name only and does not carry a separate registration